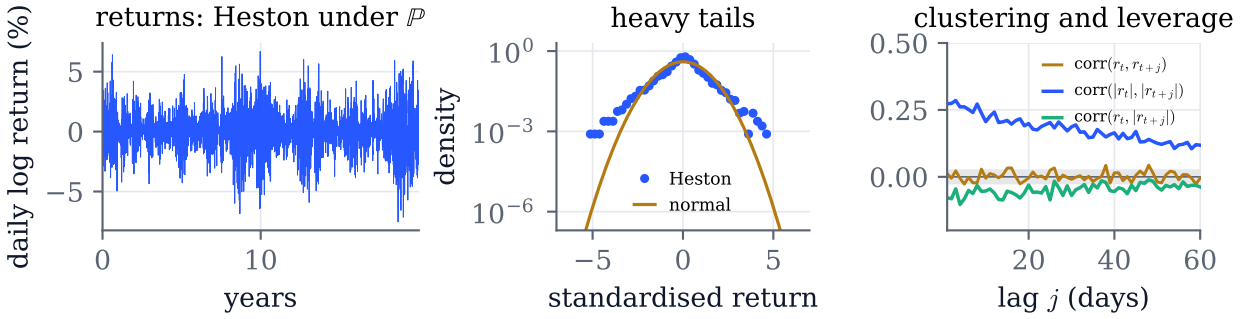
returns: Heston under $\mathbb{P}$
daily log return (%)
5
0
−5
0
10
years
heavy tails
density
10^{0}
10^{-3}
10^{-6}
Heston
normal
−5
0
5
standardised return
clustering and leverage
0.50
0.25
0.00
$\mathrm{corr}(r_t, r_{t+j})$
$\mathrm{corr}(|r_t|, |r_{t+j}|)$
$\mathrm{corr}(r_t, |r_{t+j}|)$
20
40
60
lag j (days)